EXECUTIVE SUMMARY

1. Introduction

The LGU was founded in 1580s by Juan de Salcedo. He found in Camalaniugan, a flourishing community of farmers and fishermen led by Guiab. At that time, Camalaniugan encompassed a large area that included what we know now as the towns of Buguey, Sta. Teresita, Gonzaga and Sta. Ana. Camalaniugan was one of the first towns in Cagayan to be so organized. At present it is composed of twenty eight (28) barangays and ranked 4th class municipality.

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Camalaniugan for the period ended December 31, 2015. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them

2. Highlights of Financial Information

The Municipality's assets, liabilities and Equity as of December 31, 2015 were P69,166,268.07, P38,712,214.79 and P30,454,053.28 an increased by 30%, 96% and a decrease of 8% respectively, compared of last year's assets, liabilities and equity.

The Municipality's income for CY 2014 amounted to P67,494,453.45, an increased by 13% compared to last year's income of P59,553,249.79.

The municipality's total assets, liabilities, equity, and income and expenses for CY 2014 compared with that of CY 2013 are as follows:

			Increase(Decrease)	
	2015	**2014**	**Amount**	**Percentage**
Financial Position				
Assets	69,166,268.07	53,038,030.31	16,128,237.76	30%
Liabilities	38,712,214.79	19,786,008.56	18,926,206.23	96%
Govt. Equity	30,454,053.28	33,252,021.75	-2,797,968.47	-8%
Financial Performance				
Income	74,412,163.92	67,494,453.45	6,917,710.47	10%

Expense	64,844,386.48	61,960,978.96	2,883,407.52	5%
Appropriations, Allotments and Obligation				
Appropriations	100,623,989.75	78,868,258.60	21,755,731.15	28%
Obligations	78,254,937.84	63,808,967.88	14,445,969.96	23%

Summary of Funds Transferred to Other Agencies

	2015	2014	Increase(Decrease)	
			Amount	Percentage
Subsidy to National Government Agencies	156,000.00	156,000.00	-	0%
Subsidy to Other Funds	5,615,964.06		5,615,964.06	100%

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements due to the failure of the GSO and the Municipal Accountant to reconcile the balance of the Land and building accounts, erroneous recording of Due from Officers and Employees instead of Advances to Officers and Employees and transferring the unexpended balance of the LDRRMF in the General fund books to the Trust Fund books, thus affecting the fair presentation of the accounts in the financial statements

4. Significant Findings and Recommendations

a. Unexpended balance of the Priority Development Acceleration Fund of the Municipality as of December 31, 2014 amounting to P189,401.33 recorded as "Due to LGU's" in the financial statements were not yet reverted to the unappropriated surplus of the general fund thru the Bureau of the Treasury contrary to the provision of Section 99 of Presidential Decree 1445, thus exposing such funds to any other obligation.

We recommended that the Municipal Mayor instruct the Municipal Accountant to strictly comply with the provisions of Section 99 of Presidential Decree 1445 on the reversion of the unexpended balance to the unappropriated surplus of the general fund thru the account of the Bureau of the Treasury.

b. The accuracy and reliability of Real Property (RPT) and Special Education Taxes (SET) totaling P6,507,204.19 at year end could not be ascertained due to the failure of the Treasury Office to submit updated certified list of taxpayers with tax due. RPT and SET Receivable was recorded based on the estimates

contrary to Section 20, Volume I of the Manual on the New Government Accounting System (NGAS).

We recommended that the Municipal Mayor require the Municipal Treasurer to furnish the Municipal Accountant, an updated Certified List of Taxes due showing the names of the taxpayers and the tax due from each taxpayer as a basis of recording in the books of accounts the RPT/SET Receivables for a fair presentation in the financial statements.

c. The municipal accountant did not record in the books of accounts the production process of the bio-organic fertilizer produced by the municipality in violation of Section 40, 41 and 42 of the New Government Accounting System for Local Government Units, Volume III. Likewise, there is no Ordinance created by the Sangguniang Bayan to regulate the sale/disposition of the said bio-organic fertilizer in violation of Section 132 of Republic Act No. 7160.

We recommended the following:

1. Require the municipal accountant to record purchases of various inputs, such as, chicken dung, saw dust, inoculants and other raw materials for the production of bio-organic fertilizer as raw materials inventory and recognize it as work in process inventory when they are finally issued and utilized in the production process. Recognize work in process inventory account expenses for labor, electricity, fuel, depreciation of the facilities and equipment used, and other expenses related to the production of bio-organic fertilizer.

2. Require the person in charge with the production process at the Materials Recovery Facility at barangay Fusina to coordinate with the municipal accountant and update her with the status and volume of bio-organic produced. Physical inventory count and reconciliation of their records is an indispensable procedure in the establishment of proper cost per unit of producing the bio-organic fertilizer which finally facilitate the quantitative evaluation and study of the results of operation. This internal control procedure allows the check and balance between custodial and recording functions. In this manner, produce process, production are properly accounted and safeguarded from possible loss.

3. Require concerned officials to pass an appropriate ordinance thru the Sangguniang Bayan relevant to the sales, disposal and utilization of the bio-organic fertilizer produced by the municipality.

d. The accounts Land and Buildings amounting to P3,021,760.36 and P4,408,415.57, respectively did not tally with the amount in the Inventory of Property, Plant and Equipment submitted by the General Services Officer. Likewise, Work /Other Animals account amounting to P422,000.00 were not

physically counted at the end of the year, hence, the accuracy, validity and reliability of the accounting records and reports were doubtful and contrary to Section 120 and 124 of the New Government Accounting System (NGAS) Manual.

We recommended that the Honorable Mayor instruct the GSO and the Municipal Accountant to reconcile their records for fairness and accuracy in the presentation of the accounts in the financial statements. Likewise, require the GSO to follow the prescribe format of the Report on Physical Count of Property, Plant and Equipment to facilitate reconciliation between the Inventory Report and the accounting record.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%
Disallowances					
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%
	-	-	-	-	
Charges	-	-	-	-	
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the seven (7) audit recommendations of last year's report, two (2) were fully implemented, one (1) was partially implemented and four (4) were not implemented as of year-end, hence, reiterated in Part II of the report